

companies that don't offer retirement savings plans. There are two main types of IRAs: **traditional IRAs** and **Roth IRAs**. I'll get into the details in a minute.

The main tax-saving principle behind all these retirement savings plans is simple: Uncle Sam agrees not to tax the money in your retirement account while it is accumulating interest and other earnings until you take it out—and in return, you agree not to take it out until you're 59½ or older. That may not sound like such a big deal. But allowing untaxed interest to pile up year after year could result in thousands of dollars more for you over your lifetime, especially because your interest, as it's added to the pot, earns interest on itself. The effect of your interest earning interest is known as **compounding**. I've heard some financial types call this "The Eighth Wonder of the World." (Okay, maybe they need to get out a bit more.) When money compounds without being taxed for, say, forty years rather than thirty, it not only grows for a longer period of time, but it also grows more quickly, as the example at the beginning of this chapter shows.

## ↓ **HOW YOUR RETIREMENT SAVINGS ACCOUNT WORKS**

Whichever type of retirement plan you have, the money doesn't just sit there; it's channeled into investments so it can grow. When you sign up for a plan, you're given a choice of investment options. You pick the ones you want and decide how to divide your money among your selections.

Your choices will depend on the kind of plan you are in. With a 401(k), the employer typically narrows down the investment options for you. Many plans offer you a menu of about twenty alternatives, which might include shares of your company's own stock, some actively managed stock mutual funds, some index funds, a few bond mutual funds, balanced mutual funds (which have a mix of stocks and bonds), at least one money market fund, and an international fund or two.

Every time you contribute, the money is automatically divided up according to your initial specifications. If you don't provide any input, your money will be put into a "default" investment plan—usually one that's a mix of stocks and bonds. (See the box on chapter 6.) You may not be